Chapter 3. Simple Linear Regression

The model, least squares, properties of the fitted line, decomposition of variation, correlation

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3.1 Regression and the straight-line model

Regression analysis studies how a **response** (dependent) variable Y changes with one or more **explanatory** (independent) variables. The name goes back to Galton, who observed that sons of unusually tall or short fathers tend to be closer to the average height: their heights "regress" towards the mean. In Pearson's father–son data the fitted line has slope about 0.5, so a father 6 inches above average has sons only about 3 inches above average on average.

With one explanatory variable and a linear relationship we speak of **simple linear regression**.

Definition (Simple linear regression model)

For data $(x_1, y_1), \dots, (x_n, y_n)$,

$$y_i = \beta_0 + \beta_1 x_i + \epsilon_i, \qquad \epsilon_i \overset{\text{iid}}{\sim} N(0, \sigma^2), \qquad i = 1, \dots, n,$$

where the x_i are treated as fixed (nonrandom) constants and $\beta_0, \beta_1, \sigma^2$ are unknown.

The model packs three assumptions.

(1) **Linearity**: $E(Y \mid X = x) = \beta_0 + \beta_1 x$.

(2) **Normality and equal variance**: given $X = x$, $Y \sim N(\beta_0 + \beta_1 x, \sigma^2)$, with σ^2 not depending on x (**homoscedasticity**); otherwise the errors are **heteroscedastic** (Chapter 12).

(3) **Independence**: the errors are uncorrelated, $\mathrm{Cov}(\epsilon_i, \epsilon_j) = 0$ for $i \neq j$ (independent under normality).

The model is linear *in the parameters*; a model such as $\beta_0 + \beta_1 x + \beta_2 x^2$ is still a linear model. If X is itself random, the same analysis applies conditionally on the observed x_i; this is the **regression of Y on X**, which differs from the regression of X on Y.

It is often convenient to centre the explanatory variable:

$$y_i = \beta_0^* + \beta_1 (x_i - \bar{x}) + \epsilon_i, \qquad \beta_0^* = \beta_0 + \beta_1 \bar{x}. \tag{3.1}$$

3.2 Least squares

Definition (Least squares estimator)

The **least squares estimators** (LSE) $\hat{\beta}_0, \hat{\beta}_1$ minimize

$$S(\beta_0, \beta_1) = \sum_{i=1}^{n} (y_i - \beta_0 - \beta_1 x_i)^2.$$

Write

$$S_{xx} = \sum (x_i - \bar{x})^2, \qquad S_{yy} = \sum (y_i - \bar{y})^2, \qquad S_{xy} = \sum (x_i - \bar{x})(y_i - \bar{y}).$$

Theorem 3.1 (Normal equations)

If $S_{xx} > 0$, the LSE is the unique solution of the **normal equations**

$$n\hat{\beta}_0 + \hat{\beta}_1 \sum x_i = \sum y_i, \qquad \hat{\beta}_0 \sum x_i + \hat{\beta}_1 \sum x_i^2 = \sum x_i y_i,$$

namely

$$\hat{\beta}_1 = \frac{S_{xy}}{S_{xx}}, \qquad \hat{\beta}_0 = \bar{y} - \hat{\beta}_1 \bar{x}.$$

Proof. Setting the partial derivatives to zero,

$$\frac{\partial S}{\partial \beta_0} = -2\sum(y_i - \beta_0 - \beta_1 x_i) = 0, \qquad \frac{\partial S}{\partial \beta_1} = -2\sum x_i(y_i - \beta_0 - \beta_1 x_i) = 0,$$

gives the normal equations. The first gives $\hat{\beta}_0 = \bar{y} - \hat{\beta}_1 \bar{x}$; substituting into the second, $\hat{\beta}_1(\sum x_i^2 - n\bar{x}^2) = \sum x_i y_i - n\bar{x}\bar{y}$, i.e. $\hat{\beta}_1 S_{xx} = S_{xy}$. The Hessian

$$J = 2\begin{pmatrix} n & \sum x_i \\ \sum x_i & \sum x_i^2 \end{pmatrix}$$

has $n > 0$ and determinant $4nS_{xx} > 0$, so it is positive definite. S is a convex quadratic, and the stationary point is its unique minimum. ■

In the centred form (3.1) the normal equations decouple: $\hat{\beta}_0^* = \bar{y}$ and $\hat{\beta}_1 = S_{xy}/S_{xx}$, so the fitted line is

$$\hat{y} = \bar{y} + \hat{\beta}_1(x - \bar{x}).$$

Example 3.1

Advertising spending x and sales y for six stores:

x	2	3	5	6	8	10
y	5	7	8	11	13	16

Here $\bar{x} = 34/6 = 5.667$, $\bar{y} = 10$, $S_{xx} = 238 - 34^2/6 = 45.33$ and $S_{xy} = 401 - 34 \cdot 60/6 = 61$. So $\hat{\beta}_1 = 61/45.33 = 1.346$, $\hat{\beta}_0 = 10 - 1.346 \cdot 5.667 = 2.37$, and $\hat{y} = 2.37 + 1.346x$.

Maximum likelihood. Under normal errors the log-likelihood is

$$l(\beta_0, \beta_1, \sigma^2) = -\frac{n}{2}\log(2\pi\sigma^2) - \frac{1}{2\sigma^2}S(\beta_0, \beta_1).$$

For each σ^2 it is maximized by minimizing S, so the MLEs of β_0, β_1 are the LSEs, and $\hat{\sigma}^2_{\text{MLE}} = S(\hat{\beta}_0, \hat{\beta}_1)/n$.

3.3 Properties of the fitted line

The **fitted values** are $\hat{y}_i = \hat{\beta}_0 + \hat{\beta}_1 x_i$ and the **residuals** are $e_i = y_i - \hat{y}_i$.

Theorem 3.2

(a) $\sum e_i = 0$; equivalently $\sum y_i = \sum \hat{y}_i$.

(b) $\sum x_i e_i = 0$.

(c) $\sum \hat{y}_i e_i = 0$.

(d) The fitted line passes through $(\bar{x}, \bar{y})$.

(e) $\sum e_i^2$ is the minimum of $S(\beta_0, \beta_1)$.

Proof. (a) and (b) are the two normal equations, since $\sum e_i = \sum(y_i - \hat\beta_0 - \hat\beta_1 x_i)$ and $\sum x_i e_i = \sum x_i(y_i - \hat\beta_0 - \hat\beta_1 x_i)$. (c) $\sum \hat y_i e_i = \hat\beta_0 \sum e_i + \hat\beta_1 \sum x_i e_i = 0$. (d) $\hat\beta_0 + \hat\beta_1 \bar x = \bar y$. (e) is the definition of the LSE. ■

Geometrically, (a)–(c) say that the residual vector is orthogonal to $\mathbf{1}$, to $\mathbf{x}$, and hence to the fitted vector. This is why the residual plot of e_i against $\hat y_i$ (or x_i) should show no linear trend.

3.4 Decomposition of variation

Theorem 3.3 (Sum of squares decomposition)

$$\underbrace{\sum (y_i - \bar y)^2}_{SST} = \underbrace{\sum (y_i - \hat y_i)^2}_{SSE} + \underbrace{\sum (\hat y_i - \bar y)^2}_{SSR},$$

and $SSR = \hat\beta_1^2 S_{xx} = S_{xy}^2 / S_{xx}$.

Proof. Write $y_i - \bar y = (y_i - \hat y_i) + (\hat y_i - \bar y)$ and square. The cross term is $2\sum e_i(\hat y_i - \bar y) = 2\sum \hat y_i e_i - 2\bar y \sum e_i = 0$ by Theorem 3.2. Since $\hat y_i - \bar y = \hat\beta_1(x_i - \bar x)$, $SSR = \hat\beta_1^2 S_{xx} = S_{xy}^2/S_{xx}$. ■

SST is the **total** sum of squares, SSE the **residual** (error) sum of squares, and SSR the **regression** sum of squares. Their degrees of freedom are $n-1$, $n-2$ and 1.

Definition (Coefficient of determination)

$$R^2 = \frac{SSR}{SST} = 1 - \frac{SSE}{SST} \in [0, 1].$$

R^2 is the proportion of the variation in y explained by the regression. $R^2 = 1$ means a perfect fit; $R^2 = 0$ means $\hat\beta_1 = 0$, i.e. the fitted line is horizontal. The standard error of estimate is $s = \sqrt{MSE}$ with $MSE = SSE/(n-2)$; we will see that MSE is unbiased for σ^2 (Chapter 4).

Example 3.2

In Example 3.1, $\sum y_i^2 = 684$, so $SST = S_{yy} = 684 - 600 = 84$. Then $SSR = 61^2/45.33 = 82.08$, $SSE = 84 - 82.08 = 1.92$ and $R^2 = 0.977$: advertising explains about 98% of the variation in sales.

3.5 Correlation

For a random pair (X, Y) the **population correlation** is $\rho_{XY} = \mathrm{Cov}(X,Y)/\sqrt{\mathrm{Var}\,X\,\mathrm{Var}\,Y}$, and the **sample correlation** is

$$r_{xy} = \frac{S_{xy}}{\sqrt{S_{xx} S_{yy}}} \in [-1, 1].$$

Theorem 3.4

(a) $R^2 = r_{xy}^2$ in simple linear regression.

(b) $r_{xy} = \hat\beta_1 \, s_x/s_y$, where $s_x^2 = S_{xx}/(n-1)$ and $s_y^2 = S_{yy}/(n-1)$; hence r_{xy} has the sign of $\hat\beta_1$.

Proof. (a) By Theorem 3.3, $R^2 = \frac{SSR}{SST} = \frac{S_{xy}^2}{S_{xx}S_{yy}} = r_{xy}^2$. (b) $r_{xy} = \frac{S_{xy}}{S_{xx}}\sqrt{\frac{S_{xx}}{S_{yy}}} = \hat\beta_1 \frac{s_x}{s_y}$. ■

r_{xy} measures only *linear* association. For $x = 0, 1, 2, 3, 4$ and $y = x^2 - 4x + 6 = (6, 3, 2, 3, 6)$, $S_{xy} = 0$ and $r_{xy} = 0$, although y is a deterministic function of x.

Remark

The slope and the correlation answer different questions: $\hat{\beta}_1$ is the expected change in y per unit of x, while r_{xy} is unit-free and symmetric in x and y. The regression of x on y has slope S_{xy}/S_{yy}, and the product of the two slopes is $r_{xy}^2 \leq 1$; the two lines coincide only if $|r_{xy}| = 1$.